

EFS01 FAQs

1. How do we know that a strategy is no longer profitable?

A well-backtested strategy would perform similarly in live markets. As discussed in the class, the backtesting period should include all market regimes. When a strategy does not perform well in the live market, identify the current market regime and take a look at the backtesting results for that regime and how it performed there. Such a comparison should give you an idea about how the strategy should do.

2. What is slippage?

Slippage is the difference between the trade price and the price at which the trading signal is generated.

3. Is it required to multiply the volume by its lot size to get the exact volume in futures contracts?

It depends on the market and the format in which a data provider provides the data. In many geographies, exchanges or data vendors report the volume of the absolute number of shares traded. In contrast, others report the number of lots traded. Check with the data provider and see how the volume is being reported.

4. What sources for ideas of possible strategies?

Strategy ideas can come from anywhere; academic journals, research papers, or discussion with peers. The following list will help you get started:

- [SSRN](#)
- [arXiv](#)
- [QuantPedia](#)
- [Quantified Strategies](#)

5. Why do people buy futures at a higher price where you can buy stocks?

Futures are leveraged instruments which can be used for hedging or speculating. Say you are bullish on the underlying stock in the long term, so you go long on the stock. But in the short term, you anticipate an adverse movement. Instead of squaring off the positions, you would want to hedge it. Futures being derivatives can be used for this purpose. One can also use options (which are also derivatives) for hedging purposes. Also, futures are a leveraged product. Traders only need to pay the margin amount to take a position. This property makes futures one of the most traded assets for speculation. Additionally, in some markets like India, short-selling of stocks is not allowed. Hence, to build a long-short portfolio, futures are the next best option.

6. Market regimes keep changing all the time considering events like Covid, 2008 financial crisis, etc. How would a model ignore these outliers? Or does it consider them?

As we discussed in the class, a backtesting period should include enough data that incorporates almost all regimes. Events like Covid fall or flash crash should be considered in the backtesting, and should not be left out. Using the data with all these events, the model will consider them.

7. What is the main purpose of the Kelly fraction?

Kelly fraction tells you how much we should invest in each trade. In other words, it helps to determine the optimal position size for each trade.

8. When volume increases, will open interest (OI) also increase?

Not really. The open interest can increase or decrease when the volume increases. There is no direct relationship between them.

9. Is it a wise decision to average a losing position when our SL was not yet hit?

It depends on the strategy exit logic. While backtesting a strategy, if the averaging is considered, one can do as per the strategy rules. If the averaging is not considered during the backtesting part, a systematic trader should avoid doing so and follow the strategy rules. Using discretionary decision making in a systematic strategy can shift the overall performance of the strategy wildly.

10. What Sharpe ratio is good?

A Sharpe ratio of 2 or above is considered good, 3 and above is excellent.